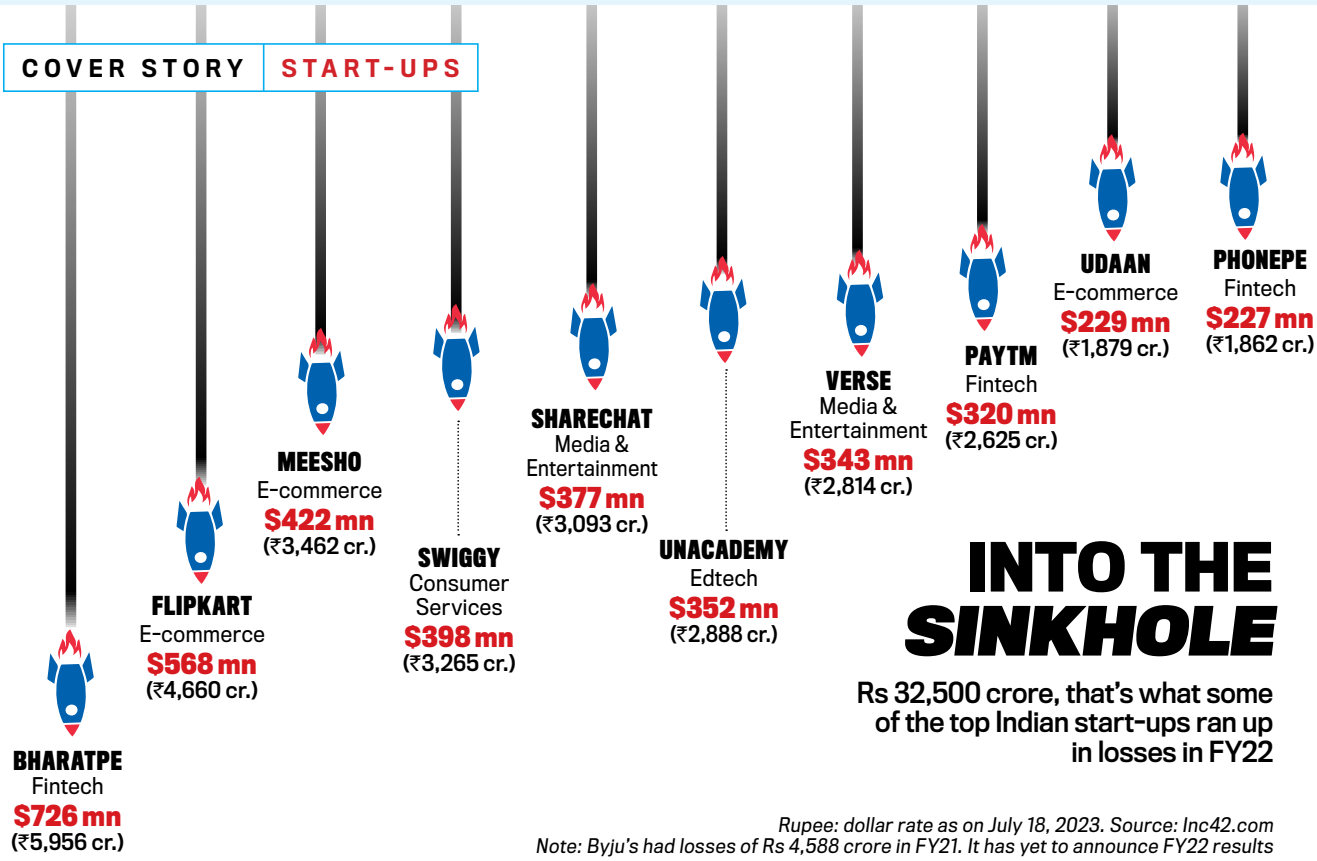


INTO THE SINKHOLE

Rs 32,500 crore, that's what some of the top Indian start-ups ran up in losses in FY22

Rupee: dollar rate as on July 18, 2023. Source: Inc42.com
Note: Byju's had losses of Rs 4,588 crore in FY21. It has yet to announce FY22 results

while deciding on investing in firms such as ours." Things can be tougher for those looking to raise larger quantums of funds. "V-Cs are taking more time to decide, due diligence is intense and valuations are substantially down in many cases," says Choksey. It's also now an unwritten rule that companies should have a clear path to profitability before approaching the capital markets to raise funds.

Some promoters are taking an alternative route to avoid the funds crunch—bridge loans from venture debt funds. A bridge loan is an interim financing option used by companies and other entities to solidify their short-term position until a long-term financing option can be arranged. Bridge financing normally comes from an investment bank or V-C firm in the form of a loan or equity investment. However, experts advise caution because an inability to service these loans can land promoters in more trouble.

"The desire now is for long-term viability," says Choksey. Terms such as 'customer acquisition cost' and 'lifetime value of a customer' have become key while evaluating start-ups. This is a good sign, a correction phase that should bring in more sobriety into the start-up world. The realisation is that customers should ultimately finance the start-ups. V-Cs can provide the much-needed initial push but, eventually, customers must provide the growth momentum that start-ups require.



"IT (THE START-UP MELTDOWN) IS A PART OF ECONOMIC CYCLES... THE WORLD IS SEEING A SLOWDOWN. I'M BULLISH ON THE START-UP ECOSYSTEM OVER THE MEDIUM TO LONG TERM"

–KRIS GOPALAKRISHNAN
Co-founder, Infosys, and Chairman, Axilor Ventures

Gopalakrishnan says the 'pandemic boom' offers key lessons—the differentiation between tapping into a temporary phenomenon and creating an institution with long-term value. He points out that when the IT services industry began, companies were working on mainframe computers and COBOL was the programming language. Today, the landscape has changed with mobile phones and programming languages such as Python. "But these companies have stayed relevant," he says. "They made sure they found solutions for customers in all these tech transitions." Start-up founders must also prepare for a marathon. "A key challenge is to ensure you can live on a shoestring budget for at least five years," Gopalakrishnan adds.

The correction in the start-up sector is perceived as a boon in many ways, helping to keep them and their investors focused. But this is just the beginning. There is concern that the present dip in fortunes may heal, and the unreal exuberance will be back again. That is a real danger that start-ups and their promoters would do well to guard themselves against. ■